India Economy & Strategy

15 December 2025

India's Currency Conundrum: Fast Growth, Yet Inevitable Path to 100!!

Indian Rupee's 6.6% slide to 90-91, aligning with our Jan'25 outlook, is not cyclical but has culminated from a decade-long managed depreciation that has eroded ~90% of its value since 2012. Structural weaknesses, fading RBI firepower, and a protectionist global backdrop point to a new 6-7% annual depreciation norm, driving USD/INR toward 100 in 12–24 months. Equities face muted returns as a weaker rupee, sticky yields, and modest earnings growth favour selective sectoral exposure; INR/USD depreciation lifts valuations in IT, Pharma, Autos and Metals, but hurts Banks, PSEs, PSU Banks, Oil & Gas, Realty, MNCs, Energy and Infra

What's inside?

- ***REER depreciation is no guarantee for INR appreciation or Trade advantage***
- ***Conundrum of a fast-growing economy and currency weakening***
- ***External deficit widens despite weak demand amid slower global trade***
- ***Why 100 Is No Longer a Question of 'If', market and policy implications***

The Indian rupee's recent plunge to a record low of 90-91 against the US dollar has elicited mixed reactions. Some link this decline to fading foreign portfolio investment (FPI) inflows, while others see it as a deliberate adjustment to enhance India's trade competitiveness in an increasingly protectionist global environment.

India's Chief Economic Advisor has recently expressed optimism for a firmer rupee, citing the economy's resilience and narrowing inflation differentials with advanced economies (BS BFSI summit, Oct 2025). This view rests on perceived macroeconomic strengths: robust real GDP growth, an improved S&P credit rating, and a stable balance of payments position.

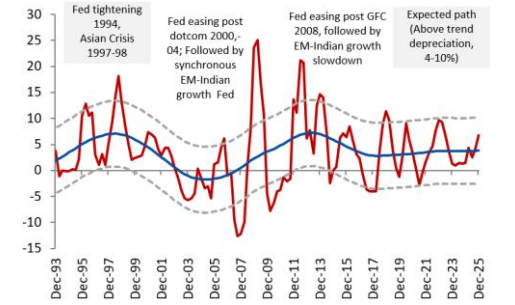
The actual picture tells a different story. The rupee's relative calm in recent years has largely been driven by the RBI's intensive interventions. Since 2017, the average annual INR/USD depreciation has been modest 4%, much milder than the 7% seen in 2013 during a sharper 20% drop. Against this backdrop, the current 6.6% weakening still falls within the bounds of managed control, though emerging signs indicate that the pace could accelerate to 6-7% going forward.

The RBI's preference for tightly controlling currency volatility dates back to efforts to solidify a post-crisis regime change, following elevated inflation in 2012 and India's labelling as one of the "Fragile Five" economies in 2013, characterised by sluggish growth, large fiscal deficits, and balance-of-payments fragility. This strategy has delivered low volatility and supportive financing conditions for domestic firms and investors.

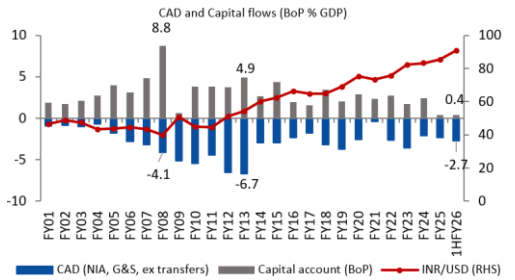
It has been pursued via a mercantilist policy, whereby the RBI has aggressively built-up foreign currency assets (FCA, ex gold), increasing them 2.2-fold since 2012 to around USD 560 billion. These reserves exceed levels required to buffer typical current-account swings, a deficit that has shrunk over the decade, giving the central bank dominant market influence to fend off capital outflows. Since 2019, the need to transfer substantial dividends to the government has prompted a shift in asset composition toward higher-yielding US Treasuries rather than lower-return central bank deposits.

INDIA ECONOMY

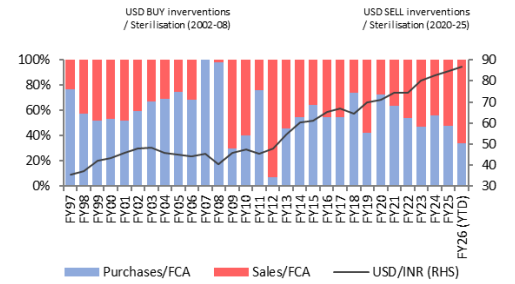
INR/USD (% YoY) could see higher average depreciation (~6.5%) and volatility



INR/USD appreciated with rising CAD, depreciated when it narrowed!!



INR depreciated despite heavy interventions



Dhananjay Sinha
dhananjaysinha@systematixgroup.in
(91 22 6704 8095)

Purvi Mundhra
purvimundhra@systematixgroup.in
(91 22 6704 8078)

Mahendra Singh
mahendrasingh@systematixgroup.in
(91 22 6704 8094)

Investors are advised to refer disclosures made at the end of the research report.

In FY25, total spot buy-sell transactions peaked at USD 763 billion, equivalent to 135% of foreign currency assets. So far, this fiscal year, the RBI has predominantly sold dollars (USD 44.3 billion from April to September), roughly double the volume of purchases (USD 22.6 billion). Following the 2013 taper tantrum, the focus shifted toward reserve accumulation, aided by special NRI deposit inflows.

Despite these efforts to engineer stability, the rupee has still lost around 90% of its value since trading near 48/USD in 2012, lagging both broad USD and emerging-market currency benchmarks.

The latest slide continues a pattern of growing rigidity since 2014, with the RBI permitting only sporadic flexibility amid dominant interventions. Correlations between INR/GBP and CNY/GBP fluctuations approached 1 during 2022-24, indicating the rupee effectively shadowed a quasi-peg against the dollar. A recent IMF assessment (November 2025) describes India's regime as a "crawl-like arrangement." The ongoing depreciation has introduced a bit more flexibility (R-squared now at 0.77), bringing it closer to the Chinese Yuan's 0.84. In contrast to the rupee, the yuan, once strictly pegged until 2006, has shown steadily rising flexibility over the last dozen years.

Fast Growth, Weak Currency: A Persistent Conundrum: Mercantilist approach suited a smaller economy needing a large forex buffer against global shocks. It's puzzling why it has persisted for the touted fourth-largest economy, where the RBI claims strengthened financial stability and a rising global GDP share should drive currency appreciation. Second, why has the rupee weakened despite robust macro performance and dominant interventions?

Conventionally, small developing countries fixing exchange rates (implicitly or explicitly to the USD) with higher relative inflation face persistent current account deficits (CAD) and eventual devaluations. These trigger inflation-devaluation loops, harming growth.

Currency direction hinges on relative productivity: successful development drives appreciation and better living standards; failure leads to depreciation.

Conversely, rapidly growing developing countries face opposite pressures. High growth boosts investment, exports, and foreign capital, pressuring nominal appreciation. Even with interventions keeping rates fixed, unsterilized flows cause inflation and real exchange rate appreciation.

Thus, currency direction hinges on relative productivity: successful development drives appreciation and better living standards; failure leads to depreciation.

This aligns with the Balassa-Samuelson (B-S) hypothesis, where tradable-sector productivity gains outpace non-tradables, causing real exchange rates to reflect cross-country productivity differences. Rapidly growing countries experience larger gaps, predicting REER appreciation.

Where does India fit? Empirical evidence varies, but India aligns with pro-growth patterns. Rapid growth phases brought large capital inflows, overshadowing widening CAD and higher inflation, hardening interest rates, yielding rupee appreciation (2003-2012). Depreciation coincided with slower growth and declining flows, regardless of easing inflation, lower interest rates or narrowing CAD.

REER correction translates into currency appreciation only when it is accompanied by higher exports, lower imports, the emergence of trade surpluses, and sustained productivity improvement. A latest study (Oct 2025) debunks the common notion of export gains from REER depreciation

REER depreciation is no guarantee of INR appreciation: India's Broad Real Effective Exchange Rate (REER, 40 currencies) has fallen sharply to 97.5 in October (-9.1% YoY, Exhibit 3-4), reflecting a sharp correction after a prolonged overvaluation sustained by interventions despite high relatively inflation and weak productivity gains. This weakening neither ensures future rupee strength nor implies lasting export competitiveness gains. Still the adjustment has remained incomplete.

Notably, REER averaged about 94.5 for 36 months during 2011-2014, yet that phase still marked the start of structural INR/USD depreciation. REER correction translates into currency appreciation only when it is accompanied by higher exports, lower imports, the emergence of trade surpluses, and sustained productivity improvement.

Currency Depreciation may not lead to Trade advantage:

A latest EXIM Bank study (Oct 2025) debunks the common notion of export gains from REER depreciation. It reveals positive sensitivity: a 1% REER depreciation triggers a 1.07% export drop, and vice versa. This contrarian result stems from heavy reliance on imported inputs (Exhibit 37).

Import intensity for raw materials in manufacturing stands at 33%, while export orientation is lower at 6.5%. Notably, 56.2% of merchandise exports come from sectors where raw material import intensity exceeds the 33.4% manufacturing average. Thus, rupee depreciation harms real exports and manufacturing broadly, potentially fueling inflation, eroding competitiveness, and sparking a depreciation spiral.

Sectoral impact (Exhibits 38-39):

- **Electronics, chemicals, machinery, petroleum:** Export gains from depreciation, but high import costs offset benefits and widen trade deficit
- **Food & agro:** Only sector where depreciation boosts exports and improves trade balance (low import intensity)
- **Textiles, leather (labour-intensive):** Negative impact from currency depreciation

Productivity gains are overstated: Robust 8%+ headline GDP growth in H1 FY26, a feat achieved only seven times pre-COVID, fails to align with lived realities, fueling rupee depreciation. Official claims portray the economy as thriving amid global trade tariffication, but evidence contradicts this.

Robust 8%+ headline GDP growth in H1 FY26, a feat achieved only seven times pre-COVID, fails to align with lived realities, fueling rupee depreciation. Official claims portray the economy as thriving amid global trade tariffication, but evidence contradicts this

Post-GFC protectionism has driven structural declines: industrial GVA ratio fell to 13.8% in FY25 (from 18.4% over prior decade), merchandise exports share dropped to 52%, and industrial production growth halved from 8.4% (2003-2011) to 3.9% since 2012, coinciding with prolonged INR/USD depreciation (Exhibits 17-21). EXIM Bank analysis confirms exports' vulnerability: a 1% global GDP drop cuts India's real exports by 4.15% (Exhibit 37); our estimates show de-facto real GDP sensitivity of 1.78 to each 1% fall in global merchandise trade volume. Global trade slowdown, from 7.1% (1993-2008) to 2.8% since 2013, intensifying post-2019 (1.8%), has curbed household income, consumption, savings, private capex, and manufacturing employment elasticity, while dampening FDI/FPI inflows (Exhibit 36).

Contrary to headline strength, corporates remain cautious, households squeezed, foreign investors net sellers, and policymakers deploy stimulus as if fragility persists. Contradictory indicators abound: core GDP (ex-discrepancies) at 9-quarter low of 4.1%; money supply growth structurally at 9-10%; listed companies sales languishing; incremental bank credit deployment down YoY; household debt at 53% of disposable income; high-frequency data (IIP consumer goods +0.8% H1, power +1%, petrol +2.3%, FMCG 3-4%) signals 4-5% reality. IMF rates India's national accounts "C"; structurally, 46.2% of workers (2024, PLFS) rely on agriculture, self-employment at 57%. Productivity from digitization, formalization, and financialization hasn't broadly disseminated. Procyclical dynamics suggest reconciling this gap could trigger further rupee capitulation.

The decade-long shrinkage in CAD/GDP has not reflected genuine external strength but rather a chronic domestic demand shortage and the continued absence of private investment

Widening External Deficits in a Subdued Demand Environment: India's current-account deficit has widened even as domestic demand remains subdued and global trade decelerates. Excluding external transfers, in 2QFY26 the deficit reached 3.5% of GDP with the first-half average at 2.7%. October's merchandise trade deficit surged to an all-time high of USD 41.7 billion as exports plunged 11.8% YoY amid Chinese competition, weak local output, and the normalisation of earlier tariff-driven shipments to the US, while imports leapt 17%.

The decade-long shrinkage in CAD/GDP has not reflected genuine external strength but rather a chronic domestic demand shortage, masked by inflated headline growth and the continued absence of private investment. Consequently, even mild reflationary measures, rate cuts or fiscal incentives, will promptly swell imports and reopen a large external gap. Services surpluses provide only limited cushions against the deteriorating goods balance.

As global protectionism deepens, India risks further rupee weakness, slower growth, and a self-reinforcing adverse loop. The durable escape lies in reviving domestic investment and productively harnessing its underutilized demographic potential, which demands moving beyond over-relied counter-cyclical monetary tools toward bold structural reforms

As global protectionism deepens, India risks further rupee weakness, slower growth, and a self-reinforcing adverse loop. The durable escape lies in reviving domestic investment and productively harnessing its underutilized demographic potential, which demands moving beyond over-relied counter-cyclical monetary tools toward structural reforms.

Capital flows at the lowest: Long term correlation between INR/USD with CAD is positive (rupee depreciates with falling CAD) while it is negative with Capital account balance (rising inflows tend to appreciate the rupee, Exhibits 15-16). This is because of the procyclicality. Capital flows are driven by strengths of economy, corporate earnings and valuations relative to global comparison. External factors such as US Fed's monetary policy, global trade regime work in consonance with the domestic pull factors.

Long term correlation between INR/USD with CAD is positive (rupee depreciates with falling CAD) while it is negative with Capital account balance (rising inflows tend to appreciate the rupee). This is because of the procyclicality

As percentage of GDP the overall capital flows including net FDI, FPI, banking capital and external borrowings have fallen from 8.8% in FY08 to 0.4% in FY25. This is associated with a decline in CAD (ex-transfers) from 4.1% to 2.1%, after rising to 6.7% in FY13. Consequently, during the high growth phase (FY03-FY08) the rupee appreciated by 20% even with rising CAD as high growth attracted global capital despite rising fed rate. But following FY12, the rupee depreciated by 90% even as CAD narrowed along with fall in Capital flow/GDP. Importantly, net FDI flows has declined to an all time low of 0.3% in FY25 (USD 0.9bn in FY25 & USD 9bn in 1HFY26, USD 43bn in FY20), while FPI flows have averaged just USD 8bn during FY16-FY24, with robust flows only in 3 out of past 11 years till YTDFY26. With slowing earnings growth, the currency PE ratio of 21-23X and peak Market cap/GDP ratio at 128% makes India an expensive market relative to most global markets, particularly China (Exhibits 21-22).

Why 100 Is No Longer a Question of 'If'

The Indian rupee's slide to 90–91 against the dollar is not a mere cyclical dip but the culmination of a decade-long managed depreciation. Since 2012, the currency has lost ~90% of its value despite aggressive RBI intervention and repeated claims of macroeconomic resilience.

Rather than enhancing export competitiveness, the recent decline corrects a prolonged artificial overvaluation maintained by mercantilist reserve accumulation and record intervention volumes. Growing evidence, from the EXIM Bank's finding that rupee depreciation harms exports due to high import intensity, to the Balassa-Samuelson effect predicting real appreciation in rapidly growing economies, suggests that ongoing depreciation reflects weak relative productivity rather than a deliberate strategy.

Behind headline 8%+ GDP growth lie sharp contradictions: industrial growth has halved, core GDP is at a nine-quarter low, households are over-leveraged, and capital inflows are drying up. With global trade slowing, protectionism rising, and domestic demand fragile, the rupee's weakness looks structural. Unless productivity picks up through revival of private capex, further stimulus would widen the CAD and risk an accelerating depreciation-inflation spiral.

A falling import-coverage ratio (9-month of imports) and stagnant foreign currency reserves signal the RBI's diminishing ability to defend the currency (Exhibit 5, 8). Consequently, its ability to deliver large fiscal support to GoI through dividend payouts is also waning. Even if US-India trade frictions ease, broader protectionism and sluggish global trade will cap capital inflows. Against this backdrop, annual depreciation is likely to shift from the recent controlled ~4% to a new 4–10% range, averaging 6.5%, pushing INR/USD toward 100 within the next 12–24 months.

On the RBI balance sheet, the contribution of forex assets to base money is declining while that of monetised G-Secs (OMO purchases) is rising, a trend likely to intensify (Exhibits 11-12). With inflation bottoming, the rupee weakening, and liquidity tight, further rate cuts are off the table; this will keep an upside bias on 10-year G-Sec yields, expected to trade in a 6.50–6.75% band.

For equities, a weaker rupee, sticky risk-free rates, and a 6-7% earnings growth (Nifty 50, Exhibit 18) point to modest returns. Historical sensitivity analysis (ex-COVID) shows INR/USD depreciation lifts valuations in IT, Pharma, Autos and Metals, but hurts Banks, PSEs, PSU Banks, Realty, MNCs, Energy, Oil & Gas, Infra and Services. Episodes of sharp depreciation episodes have historically delivered negative sectoral returns across the board (Exhibits 35-36).

RBI: Falling import cover + stagnant reserves → weaker currency defense, fading GoI dividends

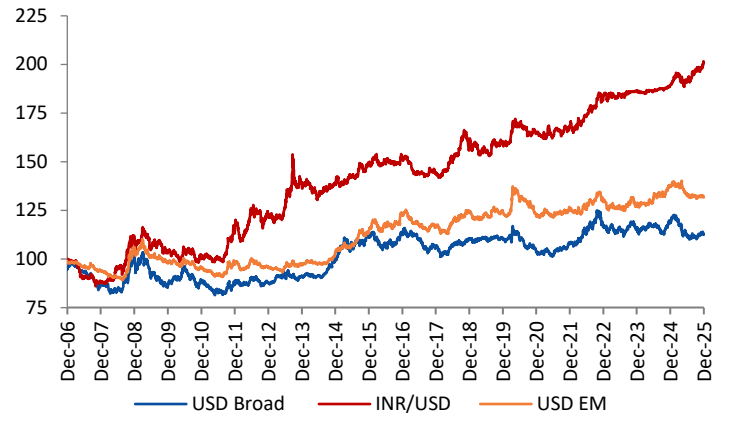
Protectionism caps inflows → depreciation accelerates: 4-10% annually (avg 6-7%) → INR/USD 100 in 12-24 months

RBI balance sheet: Forex ↓, monetized G-Secs ↑ → no rate cuts; 10yr Gsec 6.50-6.75%

Equities: Modest returns (6-7% Nifty earnings + sticky rates)

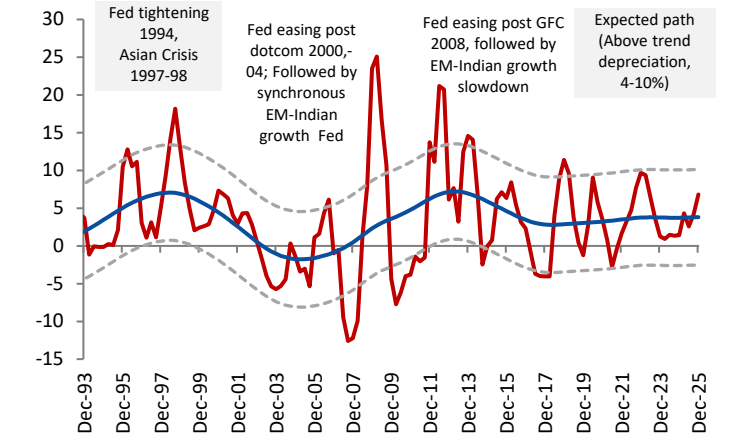
Winners: IT, Pharma, Autos, Metals - Losers: Banks, PSEs, Realty, MNCs, Energy, Infra, Services, Oil & Gas

Exhibit 1: INR/USD has depreciated more than Dollar indices, broad and EM



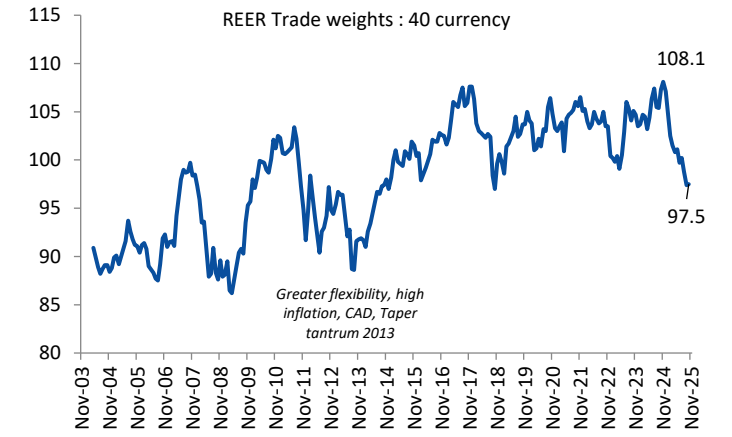
Source: FRED database, CMIE, Systematix Research

Exhibit 2: INR/USD (% YoY), future path likely to be characterised by higher average depreciation (~6.5%) and higher volatility



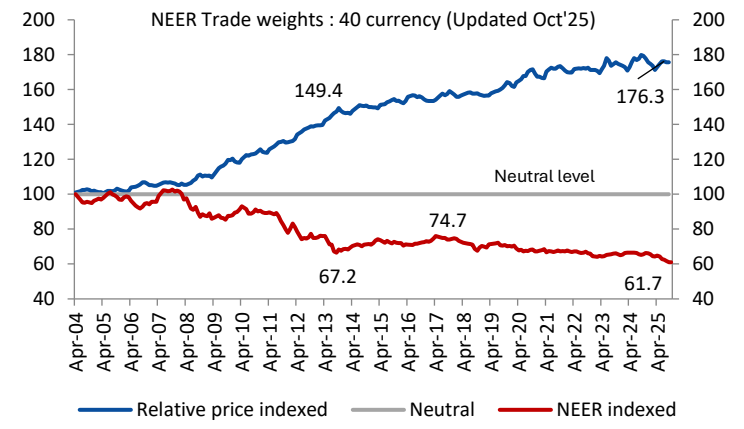
Source: RBI, Systematix Research

Exhibit 3: India's REER has dipped sharply (9.1% YoY) due to NEER depreciation (7.5%) and 1.6% decline in relative price index



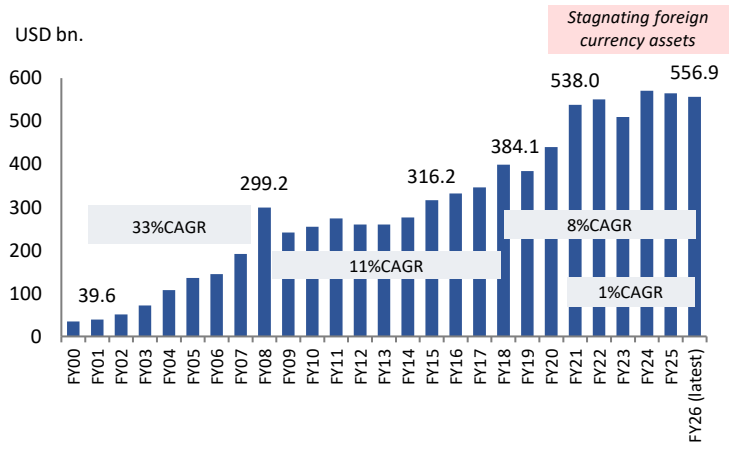
Source: RBI, Systematix Research, updated till Oct'25

Exhibit 4: Depreciation in NEER (-38.3), compensation for relative price (+76.3%) is still incomplete



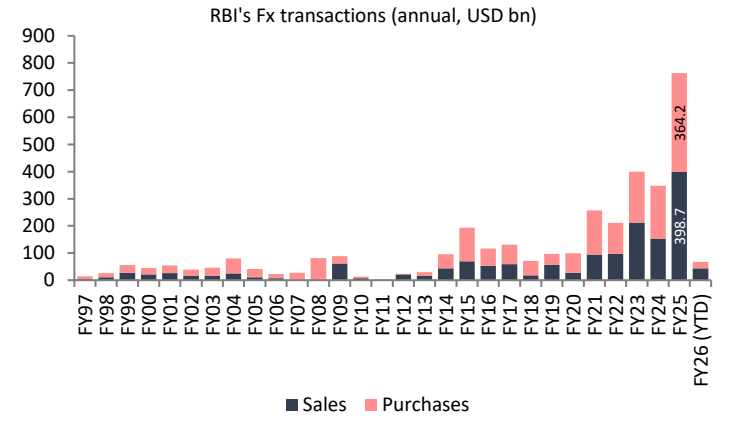
Source: RBI, Systematix Research, updated till Oct'25

Exhibit 5: RBI's FCA buffer has stagnated over the past six years



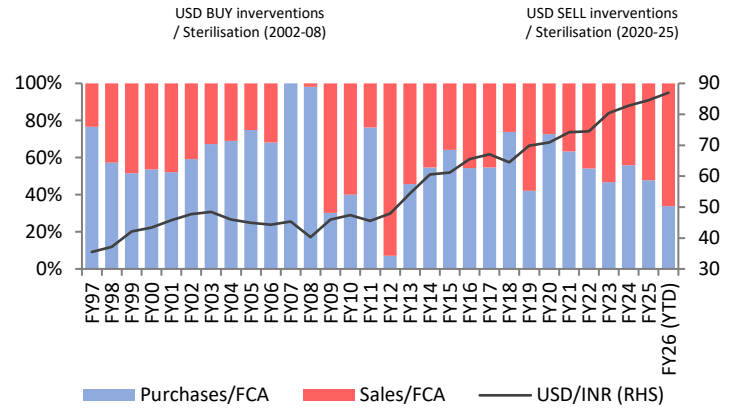
Source: RBI, CMIE, Systematix Research

Exhibit 6: As RBI's Buy-Sell interventions have risen in recent years



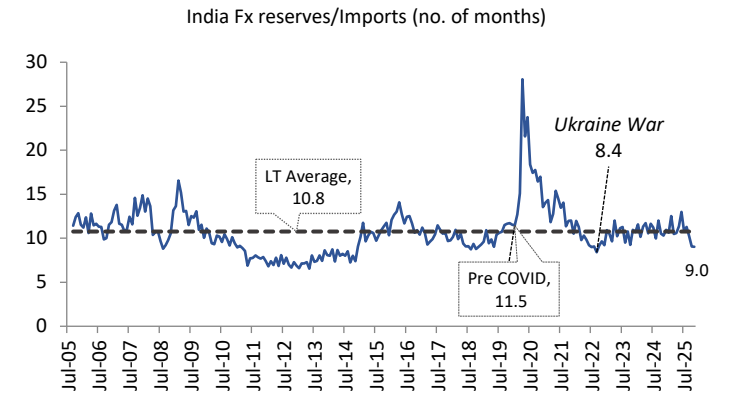
Source: RBI, CMEI, Systematix Research

Exhibit 7: USD Sell/Buy interventions rose since FY20 even as INR/USD depreciation accelerated



Source: RBI, CMIE, Systematix Research

Exhibit 8: Import/Fx reserves coverage ratio has declined lower than pre-COVID; Import/FCA (ex-gold) has fallen to 7.3 months



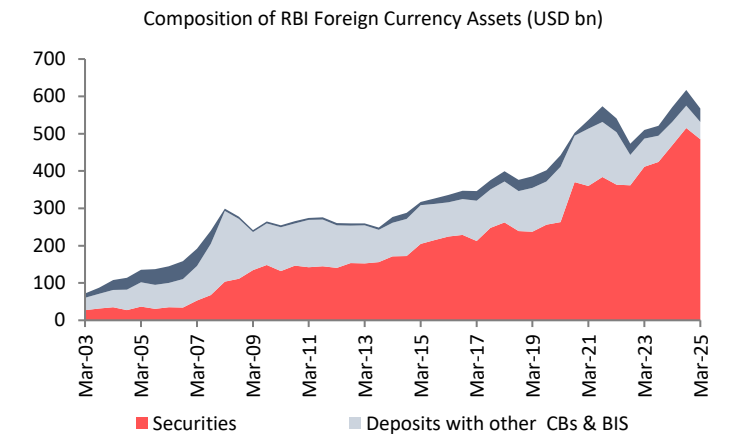
Source: RBI, CMIE, Systematix Research

Exhibit 9: Global central bank gold buying continued to rise especially after the GFC

Tonnes	Total Reserves holding	2002-2008	Since 2008	Since 2018	Since 2022	2018 over 2008 (%)	2022 over 2018 (%)
Russia	1910	35	1875	184	31	10	17
China	1800	99	1700	426	351	25	83
Turkey	622	0	622	246	240	40	98
India	522	0	522	271	126	52	46
Poland	412	0	412	387	284	94	74
Kazakhstan	252	10	241	-48	-94	-20	197
Uzbekistan	194	0	194	24	2	12	8
Azerbaijan	181	0	181	130	79	72	61
Iraq	157	0	157	66	66	42	100
Thailand	157	7	151	81	-10	54	-12
Mexico	113	-4	117	0	0	0	42
Hungary	107	0	107	79	16	73	20
Qatar	115	12	103	75	58	73	78
Brazil	96	-1	96	62	0	65	0
South Korea	91	1	90	0	0	0	95
Japan	81	0	81	81	0	100	0
Singapore	77	0	77	77	50	100	66
UAE	62	-12	75	67	19	90	29
Overall	**3095**	**-3956**	**7052**	**2716**	**1288**	**39**	**47**

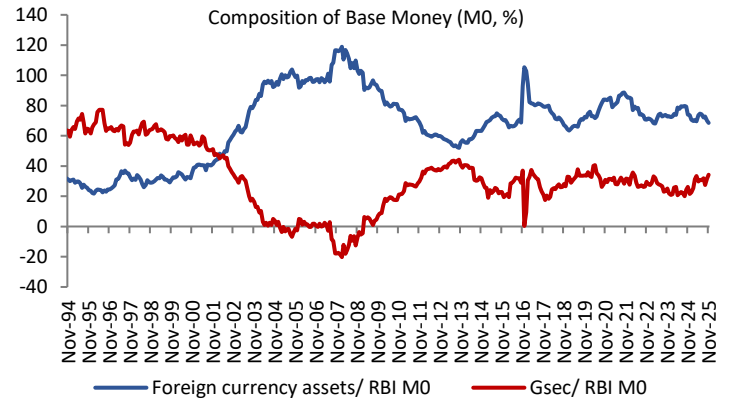
Source: CMIE, Systematix Research

Exhibit 10: RBI interventions funded by deposits with other central, while optimizing yields to by investing in UST to pay dividends



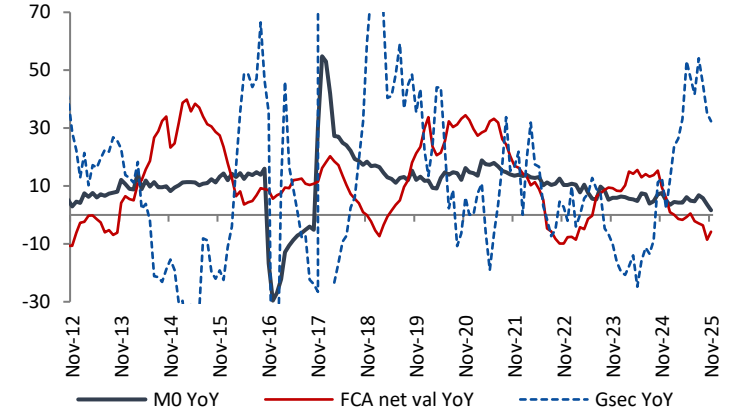
Source: CMIE, Systematix Research

Exhibit 11: Falling FCA in RBI's balance sheet increasing dependence on OMO purchases, still IN yields remain sticky



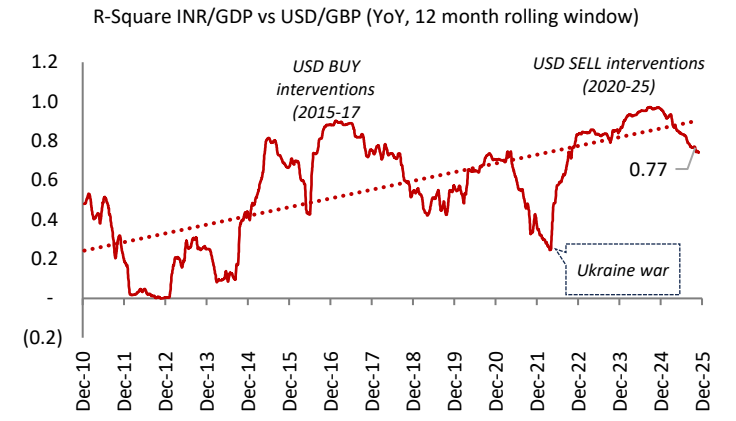
Source: CMIE, Systematix Research

Exhibit 12: RBI's reserve money (M0) growth fallen to a 13 year low at 1.6% indicating liquidity tightening due to Fx drain



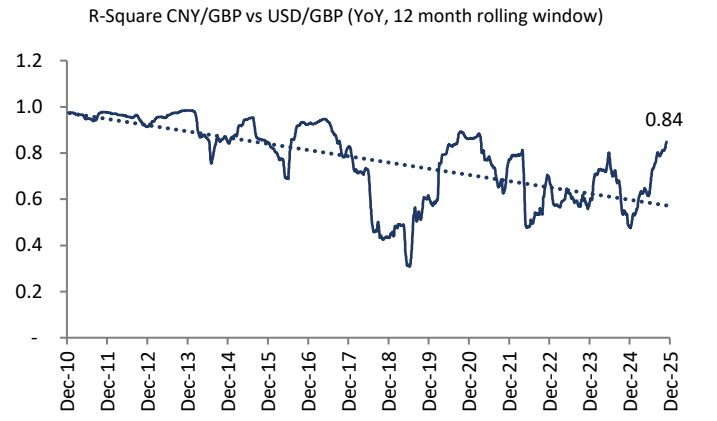
Source: CMIE, Systematix Research

Exhibit 13: Trend rise in currency inflexibility in INR/USD; easing at the margin (peg=1, full flexibility = 0)



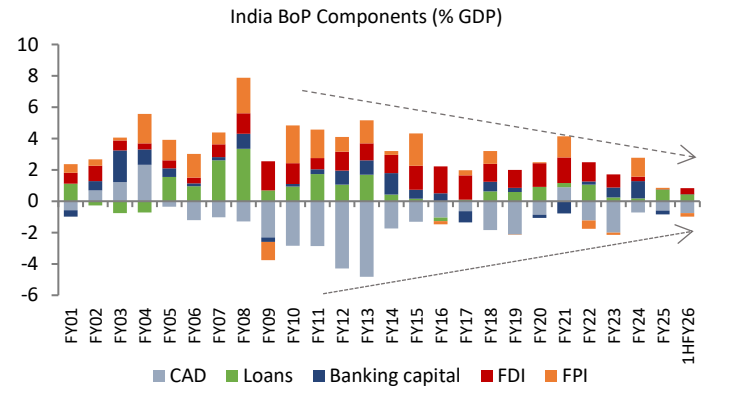
Source: RBI, CMIE, Systematix Research

Exhibit 14: Trend decline in currency inflexibility in CNY/USD; rising at the margin (peg=1, full flexibility = 0)



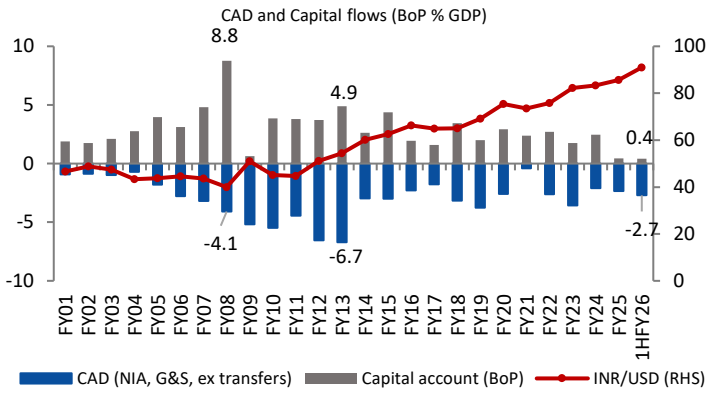
Source: Bloomberg, Systematix Research

Exhibit 15: Moderating CAD and capital flows emblematic of low underlying domestic growth



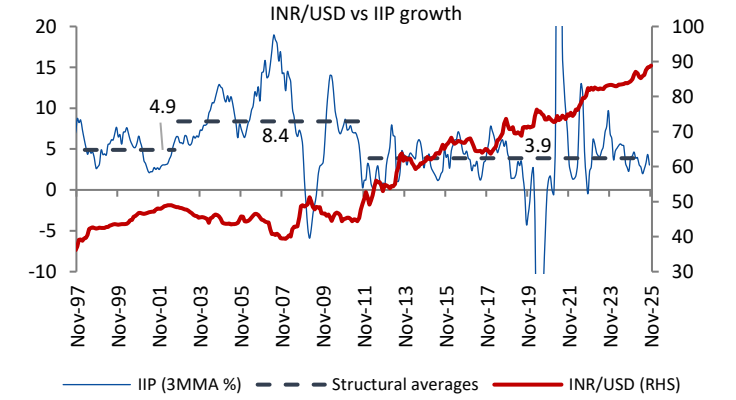
Source: RBI, CMIE, Systematix Research

Exhibit 16: INR/USD has appreciated with rising CAD, depreciated sharply with narrowing CAD and capital flows



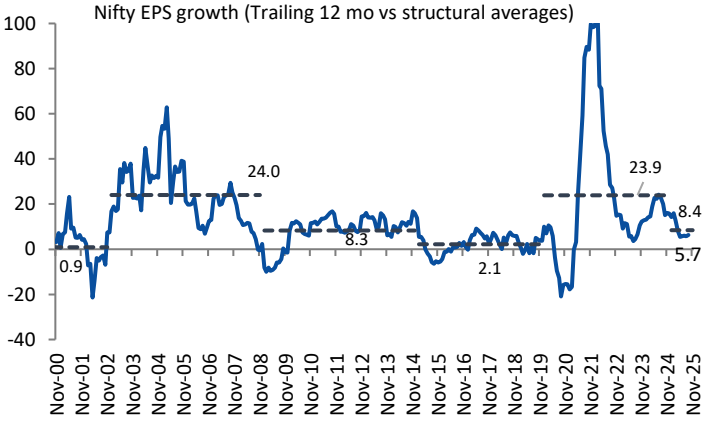
Source: NSO, RBI, Systematix Research

Exhibit 17: Currency performance correlated with underlying growth, appreciates only with stronger growth



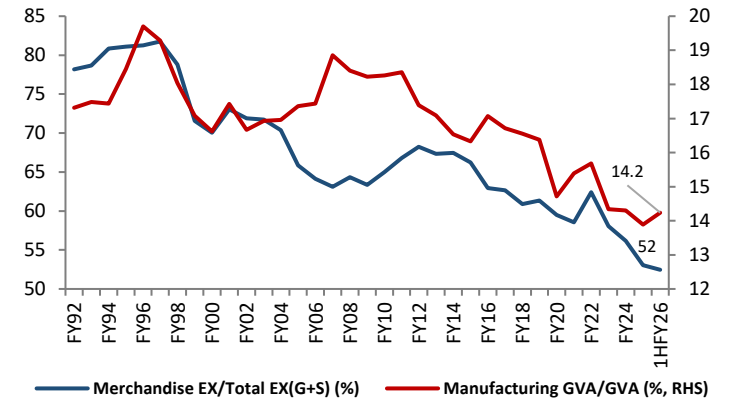
Source: CMIE, Systematix Research

Exhibit 18: Lower economic growth and corporate earnings influence foreign capital flows, both FPI and FDI



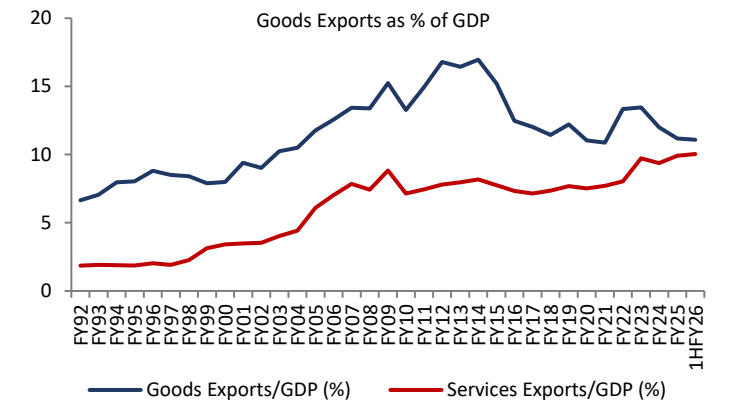
Source: CMIE, Systematix Research

Exhibit 19: Decline in share of goods to total exports coincides with the fall in share of manufacturing in GVA



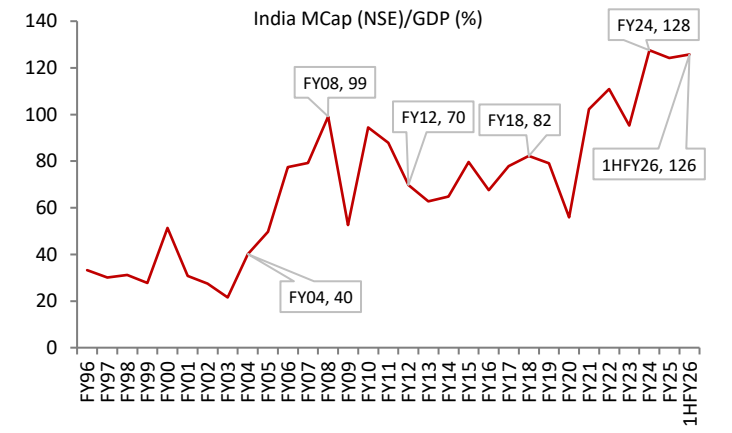
Source: CMIE, Systematix Research

Exhibit 20: Falling share of merchandise exports to GDP while the share of services exports rises



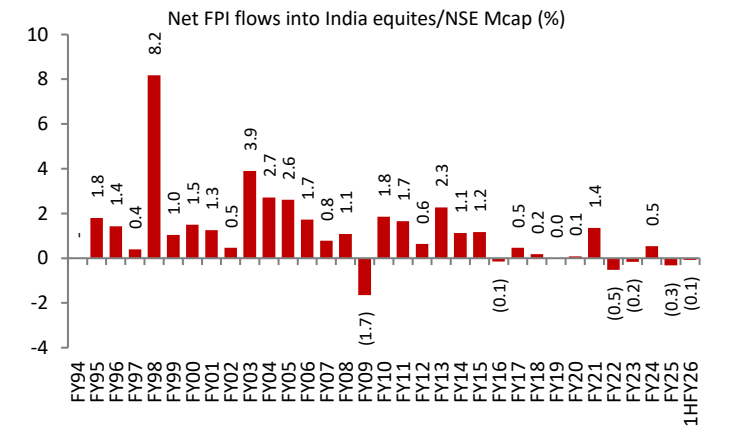
Source: CMIE, Systematix Research

Exhibit 21: Persistently elevated valuations with slowing earnings growth outlook; MCap surge driven mostly by domestic investors



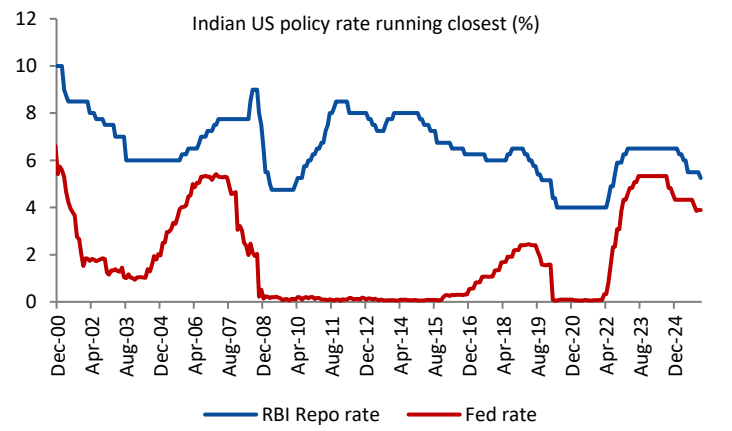
Source: CMIE, Systematix Research

Exhibit 22: …Impacting FPI lows into Indian equities, have remained mostly elusive since FY16



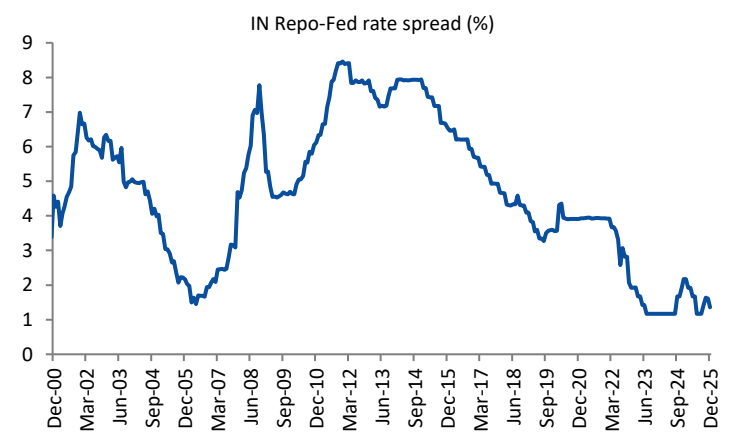
Source: CMIE, Systematix Research

Exhibit 23: Narrowing India vs US policy rate, higher for longer US rates



Source: RBI, US FRED, Systematix Research

Exhibit 24: Lowest IN-US rate spreads make INR/USD susceptible to currency depreciation, though not a very significant variable



Source: RBI, US FRED, Systematix Research

Exhibit 25: US risk free rate sustaining higher due to elevated debt, de-dollarisation and inflationary risk from US tariffs

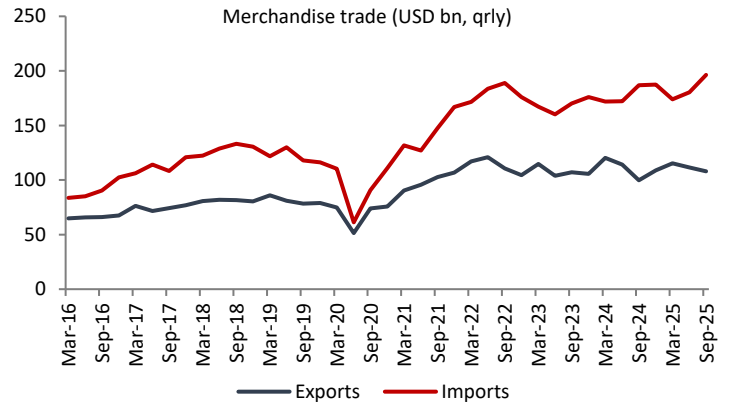
Source: CMIE, Systematix Research

Exhibit 26: After the initial episodic jump caused by US tariffication, global trade momentum has started to slow

%MoM Avg	Jan-Mar	Apr-Aug
World trade	1.28	-0.15
World imports	1.62	-0.37
Advanced economies	2.11	-1.04
Euro Area	0.80	0.31
United States	5.90	-4.90
Emerging economies	0.76	0.88
China	-1.14	1.55
Emerging Asia excl China	4.76	0.96
World exports	0.93	0.07
Advanced economies	1.02	-0.17
Euro Area	0.97	-0.35
United States	2.02	-0.78
Emerging economies	0.81	0.43
China	1.31	0.32
Emerging Asia excl China	0.16	0.69

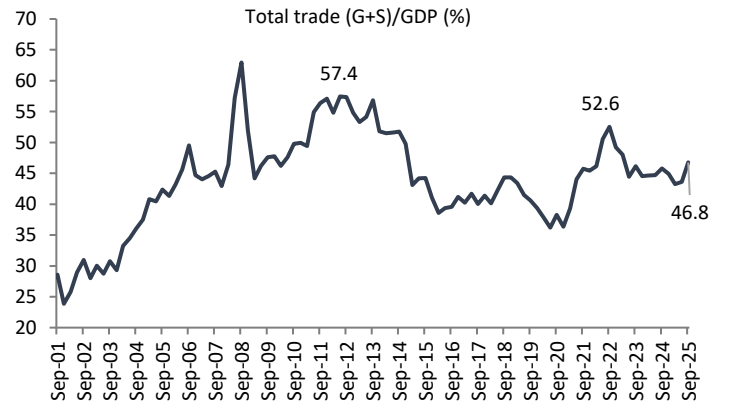
Source: CMIE, Systematix Research

Exhibit 27: Trade remained flat since post-COVID surge, Imports rising (both Gold plus non-gold) fueled by domestic stimulus



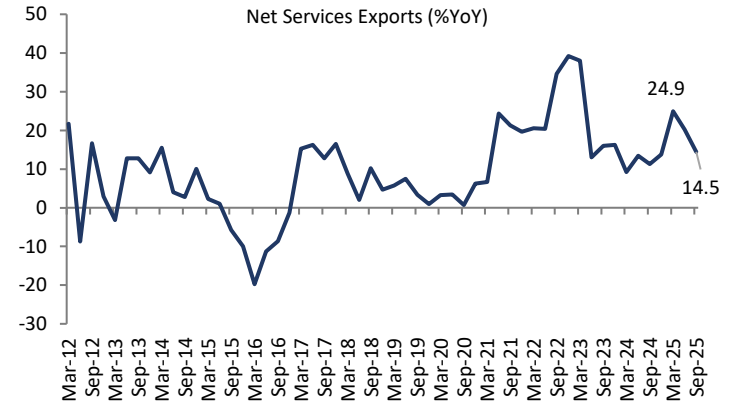
Source: CMIE, Systematix Research

Exhibit 28: Total trade as a percentage of GDP has fallen from a peak of 52% in 2QFY23



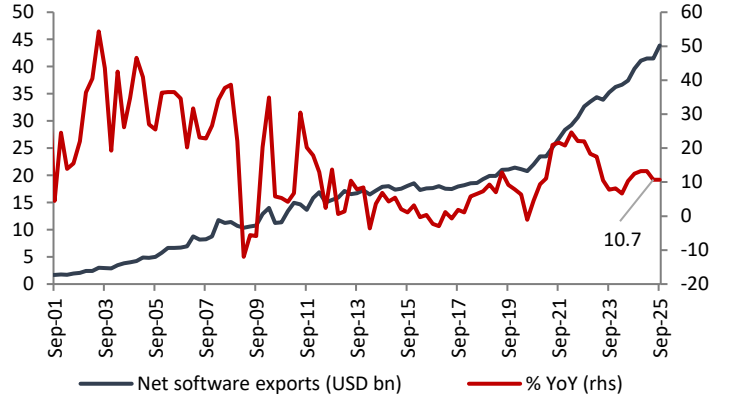
Source: CMIE, Systematix Research

Exhibit 29: Net services exports increased by 25% in 4QFY25 from 9.2% in 4QFY24



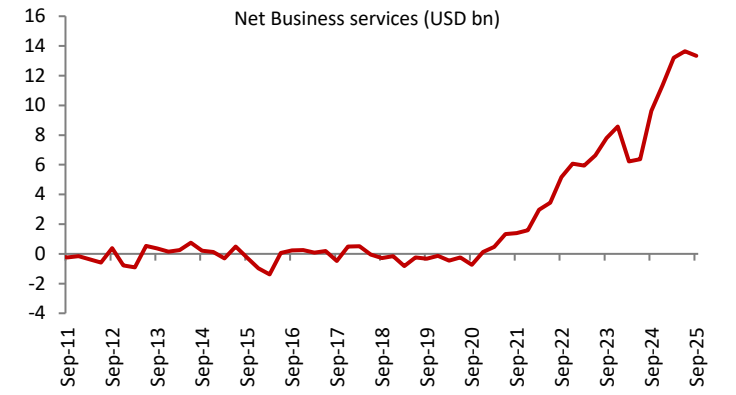
Source: CMIE, Systematix Research

Exhibit 30: Growth in net inflows from software services has moderated (Monthly)



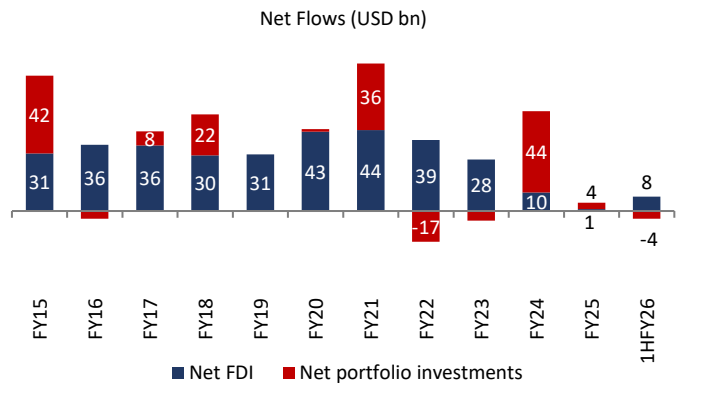
Source: CMIE, Systematix Research

Exhibit 31: Net inflows from Business Services have surged in the post COVID era, moderating now



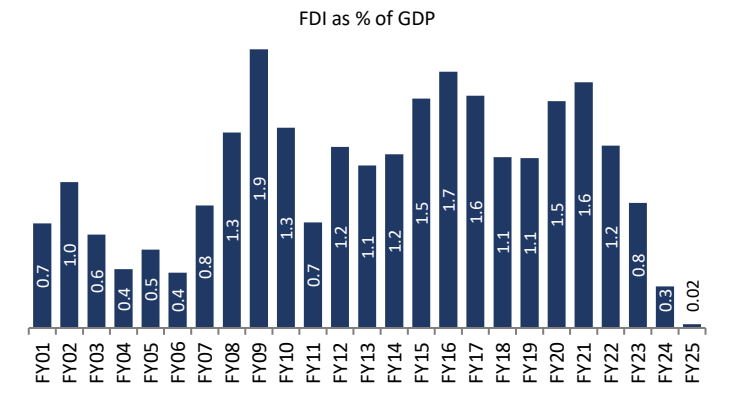
Source: CMIE, Systematix Research

Exhibit 32: Consistency between FPI & FDI inflows has broken; Net FDI at 18-year low



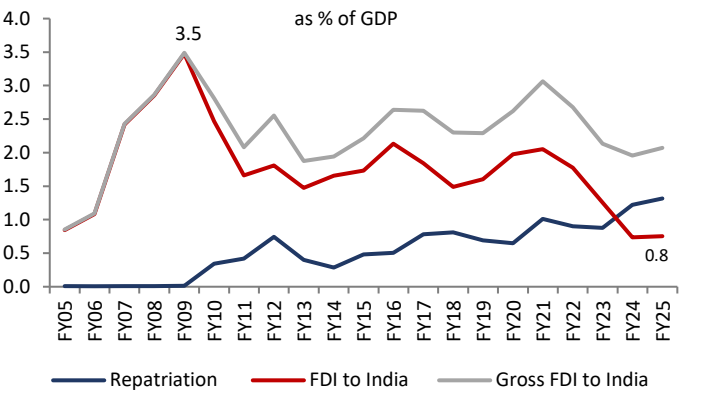
Source: CMIE, Systematix Research

Exhibit 33: Net FDI/GDP ratio has plummeted from 1.9% in FY09 to 0.02% in FY25, lowest ever



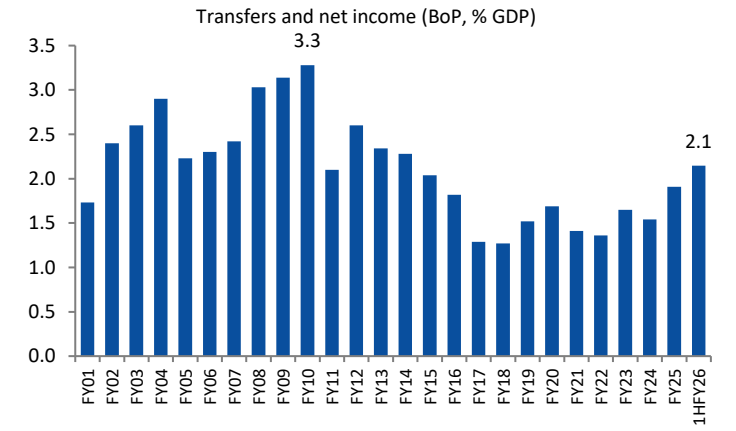
Source: CMIE, Systematix Research

Exhibit 34: Repatriation of capital from India is rising greater than the gross investments in India



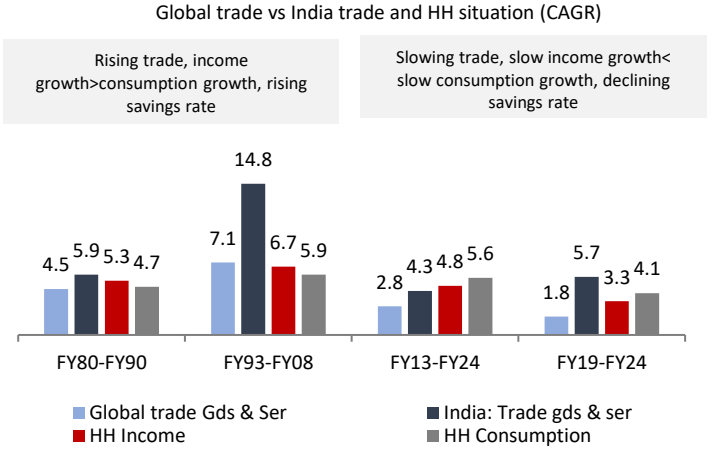
Source: CMIE, Systematix Research

Exhibit 35: Rising external transfers and income remittances has been a partial buffer, but susceptible to global protectionism



Source: CMIE, Systematix Research

Exhibit 36: Post GFC (2008) rise in trade frictions slowed global trade to a 40-year low; impacted India's households (HH)



Source: WTO, CMIE, Systematix Research

It reveals positive sensitivity: a 1% REER depreciation triggers a 1.07% real export drop, and vice versa. And a 1% global GDP drop cuts India's real exports by 4.15%, indicating high sensitivity to global trade protectionism

Exhibit 37: Long term coefficients of India's Real exports

Variable	Coefficient	Std. Error	t-Statistic	Prob.
Log GDP	4.152328	1.433867	2.895895	0.0063
Log REER	1.071103	0.458835	2.334400	0.0251
Log Volatility	0.200368	0.053581	3.739569	0.0006
C	-68.39292	23.67688	-2.888595	0.0064

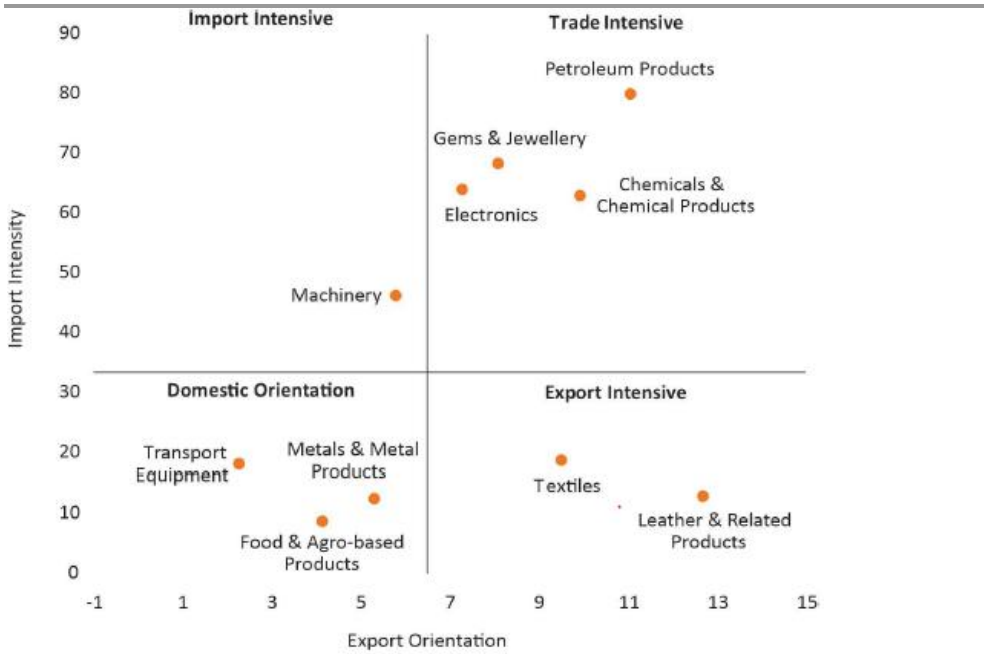
Source: Exim Bank Study, 2025

Currency depreciation is positive for exports of electronics, chemicals, machinery and petroleum products. But high dependency on imports leads to increase in import cost, thereby offsetting gains and widening the trade deficit

Food and agro-based exports is the only sector where the currency depreciation is correlated with both an increase in exports and an improvement in trade balance, due to low import intensity

While for the labour-intensive sectors like textiles and leather, currency depreciation leads to a negative impact on the sector

Exhibit 38: Quadrant analysis of sectors



Source: CMIE, Exim Bank Research; Trade Intensive – High Export Orientation & High Import Intensity; Import Intensive - Low Export Orientation & High Import Intensity; Domestic Orientation – Low Export Orientation & Low Import Intensity; Export Intensive – High Export Orientation & Low Import Intensity

Exhibit 39: Sectoral impact of rupee depreciation

Sector	Export Orientation (%)	Import Intensity (%)	Orientation	Impact of Rupee Depreciation
Electronics	7.3	64	Trade Intensive	**Mixed:** Boosts export competitiveness but raises import costs; high sensitivity, wider deficit.
Chemicals & Chemical Products	9.9	63	Trade Intensive	**Mixed:** Increases export revenues but elevates input costs; potential for wider deficit.
Machinery	5.8	46.3	Import Intensive	**Negative:** Higher import costs reduce competitiveness; muted export gains, wider deficit.
Food & Agro-based pdts	4.1	8.7	Domestic Orientation	**Muted:** Limited benefits; slight improvement in trade balance possible.
Petroleum Products	11.1	80	Trade Intensive	**Mixed:** Enhances exports but significantly raises import costs; widens deficit.
Metal & Metal Products	5.3	12.5	Domestic Orientation	**Muted:** Low sensitivity; potential for slight export gains but overall limited impact.
Transport Equipment	2.3	18.1	Domestic Orientation	**Muted:** Minimal response; inelastic demand may limit benefits, slight worsening of balance.
Textiles	9.5	18.7	Export Intensive	**Positive:** Boosts revenues and competitiveness; improves trade balance.
Gems & Jewellery	8.1	68.4	Trade Intensive	**Mixed:** Improves export margins but high import costs (e.g., gold) erode gains; wider deficit.
Leather & Related Pdts	12.7	13	Export Intensive	**Positive:** Enhances affordability abroad; improves competitiveness despite low import reliance.

Source: Exim Bank Study, 2025

Positive impact of rupee depreciation on exports can be negated by slower global growth, induced by rising protectionism and increase in cost of imported inputs. Sectors like Textile, Gems & Jewelry and Leather & related are decisively adversely impacted by currency depreciation

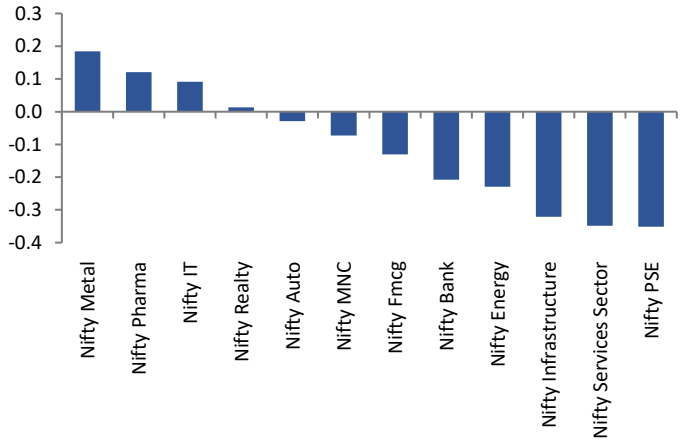
Exhibit 40: Correlation between Currency movement, global demand and tade dynamics (2014-2019)

Sectors	Correlation between Exports and Nominal Exchange Rate	Correlation between Exports and Global Import Demand	Correlation between Trade Balance and Nominal Exchange Rate
Electronics	0.93	0.88	-0.81
Chemicals & Chemical Product	0.92	0.95	-0.40
Machinery	0.92	0.97	-0.23
Food & Agro-based Products	**0.76**	**0.97**	**0.37***
Petroleum Products	0.63	0.97	-0.60
Metal & Metal Product	0.62	0.90	-0.26
Transport Equipment	0.31	0.84	-0.60*
Textile	-0.24	0.33	-0.65*
Gems & Jewellery	-0.51	-0.32	-0.56
Leather and Related Products	-0.67	0.64	-0.72*

Note: 1. Nominal exchange rate is calendar year average (INR/USD)
2. Cells highlighted in light green indicate sectors with positive correlation between exports and exchange rate and negative correlation between trade balance and exchange rate; cell highlighted in dark green indicate sector with positive correlation between both exports and exchange rate, and trade balance and exchange rate; and cells highlighted in orange indicate sectors with negative correlation between both exports and exchange rate and trade balance and exchange rate.
** Indicates sectors with trade surplus, whereby a positive correlation would mean improved trade surplus due to currency depreciation and vice versa.*

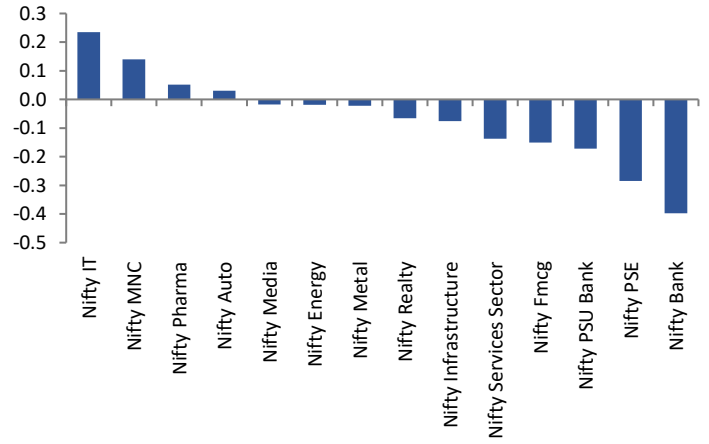
Source: ITC Trademap, RBI, Exim Bank

Exhibit 41: Correlation: P/E Ratio (Z score) and INR/USD



Source: CMIE, Systematix Research

Exhibit 42: Correlation: P/B Ratio (Z score) and INR/USD



Source: WTO, CMIE, Systematix Research

We utilize monthly data on P/B and P/E ratios of various indices along with INR/USD. Sample period is May 2013 to Oct 2023, excluding volatile period of COVID. To normalize long term depreciation, we use detrended fluctuation in INR/USD. We perform the correlation analysis using Z-score values of P/E ratio and P/B ratio. Z-score of a x is estimated as: $Z = \frac{x-\mu}{\sigma}$, where μ and σ denote mean and standard deviation of the random variable (x).

DISCLOSURES/APPENDIX

I. ANALYST CERTIFICATION

I, **Dhananjay Sinha, Purvi Mundhra, Mahendra Singh,** hereby certify that (1) views expressed in this research report accurately reflect my/our personal views about any or all of the subject securities or issuers referred to in this research report, (2) no part of my/our compensation was, is, or will be directly or indirectly related to the specific recommendations or views expressed in this research report by **Systematix Shares and Stocks (India) Limited (SSSIL)** or its group/associate companies, (3) reasonable care is taken to achieve and maintain independence and objectivity in making any recommendations.

Disclosure of Interest Statement	Update
Analyst holding in the stock	No
Served as an officer, director or employee	No

II. **ISSUER SPECIFIC REGULATORY DISCLOSURES,** unless specifically mentioned in point no. 9 below:

1. The research analyst(s), SSSIL, associates or relatives do not have any financial interest in the company(ies) covered in this report.
2. The research analyst(s), SSSIL, associates or relatives collectively do not hold more than 1% of the securities of the company(ies) covered in this report as of the end of the month immediately preceding the distribution of the research report.
3. The research analyst(s), SSSIL, associates or relatives did not have any other material conflict of interest at the time of publication of this research report.
4. The research analyst, SSSIL and its associates have not received compensation for investment banking or merchant banking or brokerage services or any other products or services from the company(ies) covered in this report in the past twelve months.
5. The research analyst, SSSIL or its associates have not managed or co-managed a private or public offering of securities for the company(ies) covered in this report in the previous twelve months.
6. SSSIL or its associates have not received compensation or other benefits from the company(ies) covered in this report or from any third party in connection with this research report.
7. The research analyst has not served as an officer, director or employee of the company(ies) covered in this research report.
8. The research analyst and SSSIL have not been engaged in market making activity for the company(ies) covered in this research report.
9. Details of SSSIL, research analyst and its associates pertaining to the companies covered in this research report:

Sr. No.	Particulars	Yes / No.
1	Whether compensation was received from the company(ies) covered in the research report in the past 12 months for investment banking transaction by SSSIL.	No
2	Whether research analyst, SSSIL or its associates and relatives collectively hold more than 1% of the company(ies) covered in the research report.	No
3	Whether compensation has been received by SSSIL or its associates from the company(ies) covered in the research report.	No
4	Whether SSSIL or its affiliates have managed or co-managed a private or public offering of securities for the company(ies) covered in the research report in the previous twelve months.	No
5	Whether research analyst, SSSIL or associates have received compensation for investment banking or merchant banking or brokerage services or any other products or services from the company(ies) covered in the research report in the last twelve months.	No

10. There is no material disciplinary action taken by any regulatory authority that impacts the equity research analysis activities.

STOCK RATINGS

BUY (B): The stock's total return is expected to exceed 15% over the next 12 months.
HOLD (H): The stock's total return is expected to be within -15% to +15% over the next 12 months.
SELL (S): The stock's total return is expected to give negative returns of more than 15% over the next 12 months.
NOT RATED (NR): The analyst has no recommendation on the stock under review.

INDUSTRY VIEWS

ATTRACTIVE (AT): Fundamentals/valuations of the sector are expected to be attractive over the next 12-18 months.
NEUTRAL (NL): Fundamentals/valuations of the sector are expected to neither improve nor deteriorate over the next 12-18 months.
CAUTIOUS (CS): Fundamentals/valuations of the sector are expected to deteriorate over the next 12-18 months.

III. DISCLAIMER

The information and opinions contained herein have been compiled or arrived at based on the information obtained in good faith from sources believed to be reliable. Such information has not been independently verified and no guaranty, representation of warranty, express or implied, is made as to its accuracy completeness or correctness.

This document is for information purposes only. This report is based on information that we consider reliable; we do not represent that it is accurate or complete and one should exercise due caution while acting on it. Description of any company(ies) or its/their securities mentioned herein are not complete and this document is not and should not be construed as an offer or solicitation of an offer to buy or sell any securities or other financial instruments. Past performance is not a guide for future performance, future returns are not guaranteed and a loss of original capital may occur. All opinions, projections and estimates constitute the judgment of the author as on the date of the report and these, plus any other information contained in the report, are subject to change without notice. Prices and availability of financial instruments are also subject to change without notice. This report is intended for distribution to institutional investors.

This report is not directed to or intended for display, downloading, printing, reproducing or for distribution to or use by, any person or entity that is a citizen or resident or located in any locality, state, country or other jurisdiction where such distribution, publication, reproduction, availability or use would be contrary to law or regulation or what would subject to SSSIL or its affiliates to any registration or licensing requirement within such jurisdiction. If this report is inadvertently sent or has reached any individual in such country, especially USA, the same may be ignored and brought to the attention of the sender. Neither this document nor any copy of it may be taken or transmitted into the United States (to U.S. persons), Canada, or Japan or distributed, directly or indirectly, in the United States or Canada or distributed or redistributed in Japan or to any resident thereof. Any unauthorized use, duplication, redistribution or disclosure of this report including, but not limited to, redistribution by electronic mail, posting of the report on a website or page, and/or providing to a third party a link, is prohibited by law and will result in prosecution. The information contained in the report is intended solely for the recipient and may not be further distributed by the recipient to any third party.

SSSIL generally prohibits its analysts, persons reporting to analysts, and members of their households from maintaining a financial interest in the securities or derivatives of any companies that the analysts cover. Additionally, SSSIL generally prohibits its analysts and persons reporting to analysts from serving as an officer, director, or advisory board member of any companies that they cover. Our salespeople, traders, and other professionals or affiliates may provide oral or written market commentary or trading strategies to our clients that reflect opinions that are contrary to the opinions expressed herein. Our proprietary trading and investing businesses may make investment decisions that are inconsistent with the recommendations expressed herein. The views expressed in this research report reflect the personal views of the analyst(s) about the subject securities or issues and no part of the compensation of the research analyst(s) was, is, or will be directly or indirectly related to the specific recommendations and views expressed by research analyst(s) in this report. The compensation of the analyst who prepared this document is determined exclusively by SSSIL; however, compensation may relate to the revenues of the Systematix Group as a whole, of which investment banking, sales and trading are a part. Research analysts and sales persons of SSSIL may provide important inputs to its affiliated company(ies).

Foreign currencies denominated securities, wherever mentioned, are subject to exchange rate fluctuations which could have an adverse effect on their value or price or the income derived from them. In addition, investors in securities such as ADRs, the values of which are influenced by foreign currencies, effectively assume currency risk. SSSIL, its directors, analysts or employees do not take any responsibility, financial or otherwise, of the losses or the damages sustained due to the investments made or any action taken on the basis of this report including but not restricted to fluctuation in the prices of shares and bonds, changes in the currency rates, diminution in the NAVs, reduction in the dividend or income, etc.

SSSIL and its affiliates, officers, directors, and employees subject to the information given in the disclosures may: (a) from time to time, have long or short positions in, and buy or sell, the securities thereof, of company (ies) mentioned herein or (b) be engaged in any other transaction involving such securities and earn brokerage or other compensation (financial interest) or act as a market maker in the financial instruments of the company (ies) discussed herein or act as advisor or lender / borrower to such company (ies) or have other potential material conflict of interest with respect to any recommendation and related information and opinions. The views expressed are those of the analyst and the company may or may not subscribe to the views expressed therein.

SSSIL, its affiliates and any third party involved in, or related to, computing or compiling the information hereby expressly disclaim all warranties of originality, accuracy, completeness, merchantability or fitness for a particular purpose with respect to any of this information. Without limiting any of the foregoing, in no event shall SSSIL, any of its affiliates or any third party involved in, or related to, computing or compiling the information have any liability for any damages of any kind. The company accepts no liability whatsoever for the actions of third parties. The report may provide the addresses of, or contain hyperlinks to, websites. Except to the extent to which the report refers to website material of the company, the company has not reviewed the linked site. Accessing such website or following such link through the report or the website of the company shall be at your own risk and the company shall have no liability arising out of, or in connection with, any such referenced website.

SSSIL will not be liable for any delay or any other interruption which may occur in presenting the data due to any technical glitch to present the data. In no event shall SSSIL be liable for any damages, including without limitation, direct or indirect, special, incidental, or consequential damages, losses or expenses arising in connection with the data presented by SSSIL through this presentation.

SSSIL or any of its other group companies or associates will not be responsible for any decisions taken on the basis of this report. Investors are advised to consult their investment and tax consultants before taking any investment decisions based on this report.

Registration granted by SEBI to SSSIL and certification from NISM to the analyst in no way guarantee performance of SSSIL or to provide any assurance of returns to investors.

SYSTEMATIX GROUP™
Investments Re-defined

EMPOWERING INVESTORS
A SEBI Initiative

Systematix Shares and Stocks (India) Limited:
Registered and Corporate address: The Capital, A-wing, No. 603 – 606, 6th Floor, Plot No. C-70, G Block, Bandra Kurla Complex, Bandra (East), Mumbai – 400 051
Tel no. 022-66198000/40358000 Fax no. 022-66198029/40358029 Email id contactus@systematixgroup.in. Visit us at: www.systematixgroup.in
Details of Compliance officer: Ms Nipa Savla, Compliance officer Tel no. 022-66198092/4035808092 Email id compliance@systematixgroup.in
Details of Email id grievance redressal cell : grievance@systematixgroup.in
Details of Registration : CIN - U65993MH1995PLC268414 | BSE SEBI Reg. No.: INZ000171134 (Member Code: 182) | NSE SEBI Reg. No.: INZ000171134 (Member Code: 11327) | MCX SEBI Reg. No.: INZ000171134 (Member Code: 56625) | NCDEX SEBI Reg. No.: INZ000171134 (Member Code: 1281) | Depository Participant SEBI Reg. No.: IN-DP-480-2020 (DP Id: 12034600) | PMS SEBI Reg. No.: INP000002692 | Research Analyst SEBI Reg. No.: INH200000840 | AMFI : ARN - 64917